

Hindustan Aeronautics Ltd

HAL | Latest fiscal period 2024-03

70.2

HEALTH · Good

ROE

3,816.6%

ROCE

3,180.7%

OPM

32.1%

DEBT / EQUITY

0.6x

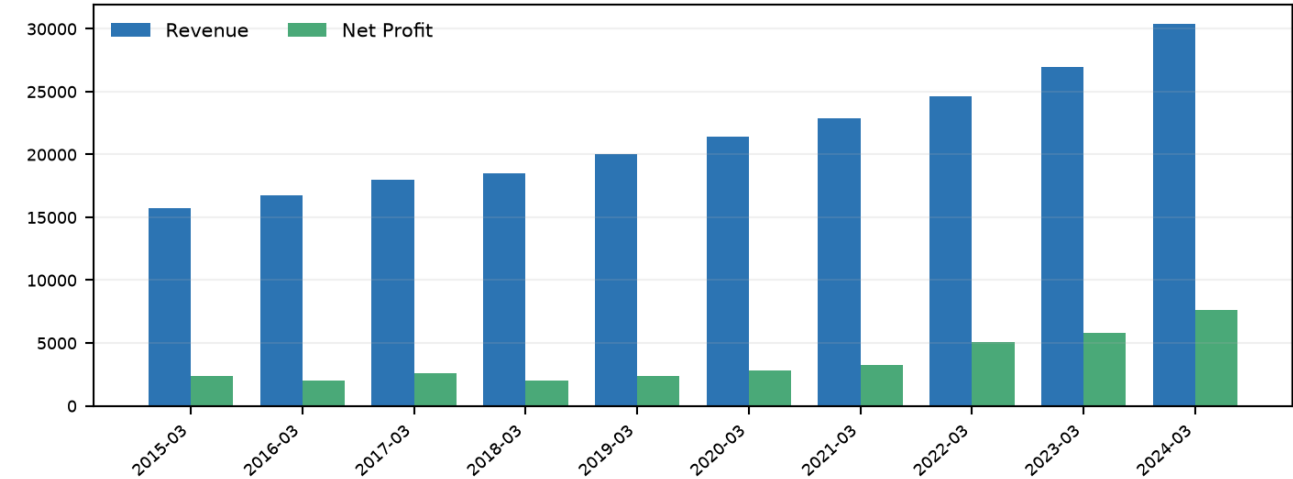
REVENUE CAGR 5Y

8.7%

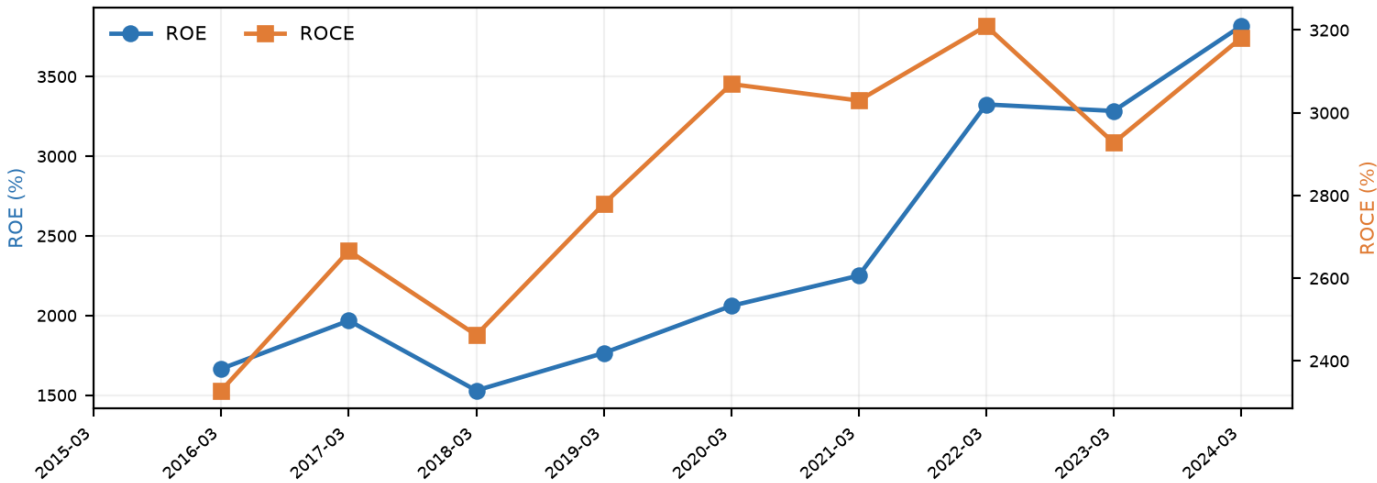
P/E

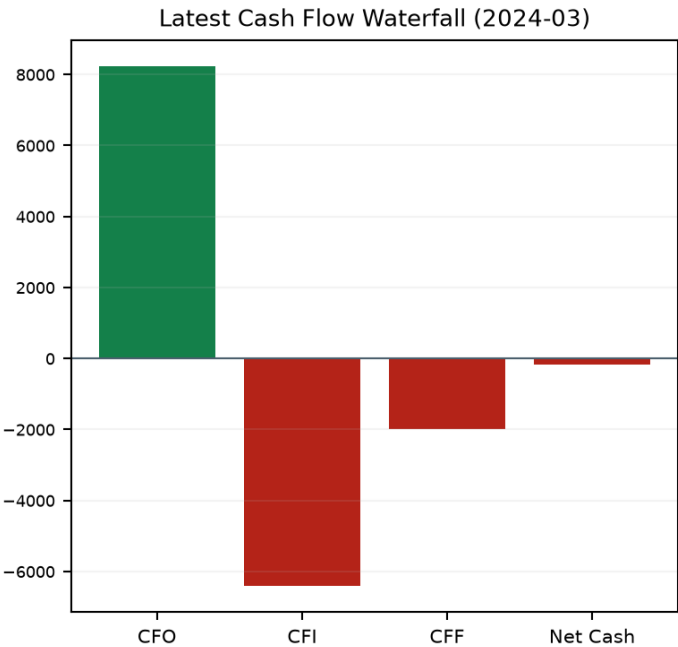
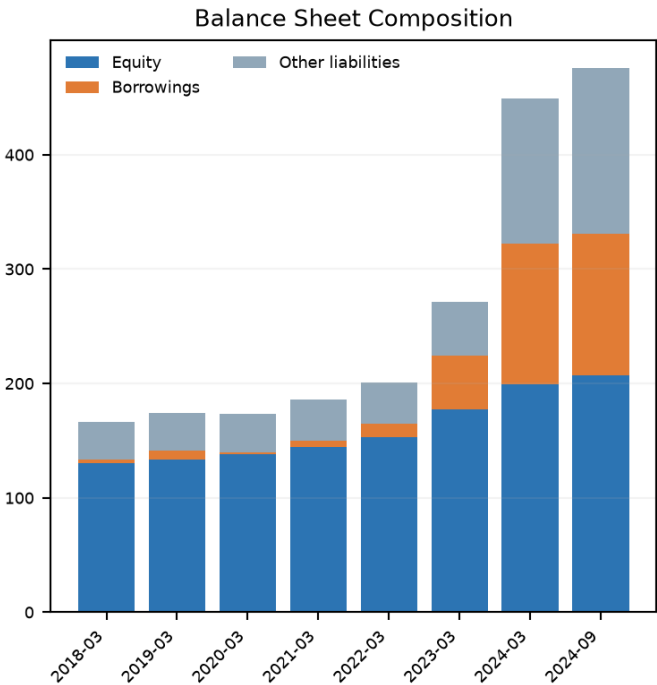
71.9x

10-Year Revenue and Net Profit (INR Crore)



ROE and ROCE Trend





Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

CAPITAL ALLOCATION · SELF FUNDED REINVESTMENT